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Identify Difference between Inventory Value Report and GL

Document Version Control

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1 Difference between Inventory value report and General Ledger value

At the end of every month, it is common for finance and operations teams to encounter discrepancies between the **Inventory Value Report** and the **General Ledger (G/L) inventory account balances**. These differences often lead to questions regarding the accuracy of inventory accounting and the underlying causes of mismatches.

While reconciling the general ledger inventory accounts with the inventory subledger is a critical month-end activity, understanding the root causes of discrepancies is equally important. In many cases, mismatches are due to configuration issues, incorrect posting profiles, or manual adjustments that bypass standard inventory processes.

This document outlines **the** recommended steps to identify and analyze discrepancies between the **Inventory Value Report** and **G/L balances** in Microsoft Dynamics 365 Finance and Operations (D365). It aims to provide a structured approach to help users:

- Understand the nature of common discrepancies.
- Investigate the potential root causes.
- Prevent similar issues in the future through better configuration and control.

By following these steps, organizations can improve the accuracy of their financial reporting and maintain better control over inventory accounting.

2 Process to Identifying Inventory Discrepancies

2.1 Use the Potential Conflicts Report

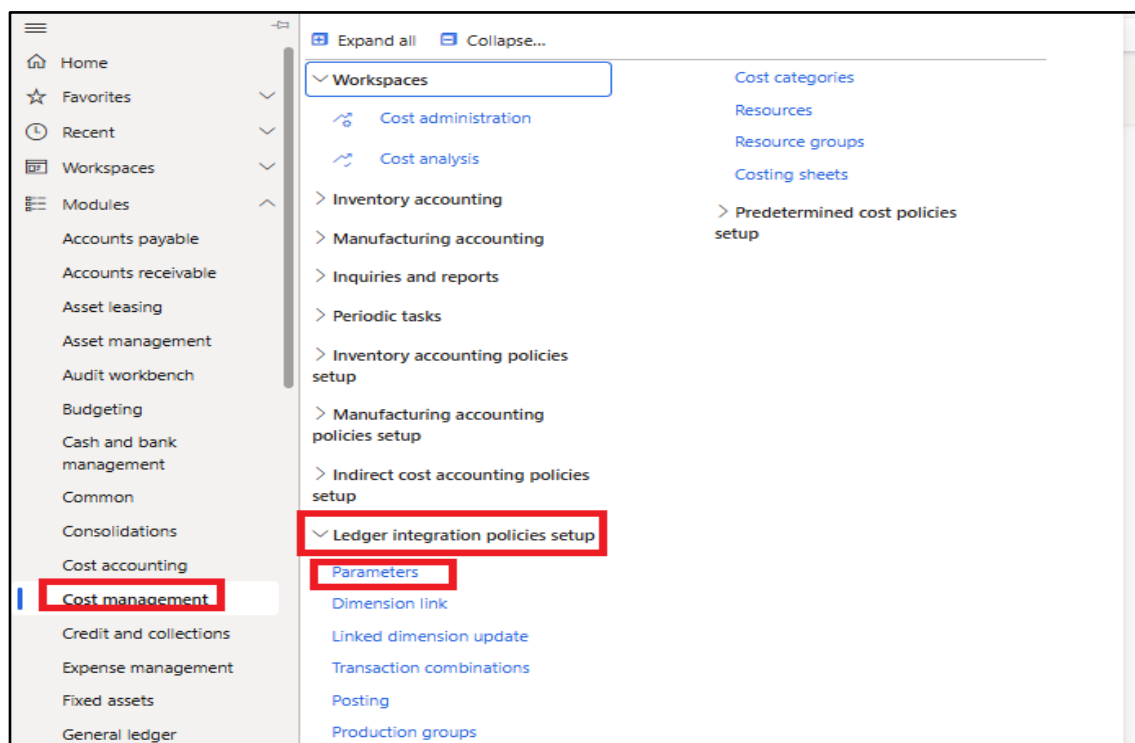
The **Potential Conflicts Report** is the most effective starting point when identifying discrepancies between the General Ledger (GL) and the inventory subledger in Microsoft Dynamics 365 for Finance and Operations. This report provides a list of transactions that are likely causing mismatches, along with the reasons for each conflict. It highlights issues such as:

- Inventory transactions that did not post to the GL.
- Manual journal entries made directly to inventory GL accounts.
- Misconfigured posting profiles or item model group settings.

To ensure accurate output from the Potential Conflicts Report, it's important to configure your **ledger integration policy parameters** correctly:

- **Navigate to:** Cost Management > Setup > Ledger integration policies > Parameters
- Under "**Inventory accounts for cost reconciliation**", select the inventory GL accounts that should be considered for reconciliation.

Note: This setup applies specifically to Dynamics 365 for Finance and Operations. For earlier versions such as AX 2012, you will need to use a **totaling account** instead. Please contact your system administrator or support team for guidance on configuring totaling accounts in earlier versions.



Within the **Parameters** form, it is essential to define the Main account category associated with your inventory accounts:

- In the **"Inventory"** field, select the **Main account category** that is assigned to your inventory GL accounts.
- Once selected, the **Potential Conflicts Report** will recognize **all main accounts** that fall under this category as inventory accounts.

This categorization enables the system to include the correct accounts in the reconciliation process. Without this step, some valid inventory transactions might be excluded from the report, leading to incomplete or inaccurate results.

- After completing this setup, proceed to run the **Potential Conflicts Report**.

The screenshot shows the 'Parameters' form with the 'Set up general ledger reconciliation' section highlighted by a red box. The 'PRINCIPLE' dropdown is set to 'Main account category'. The 'INVENTORY' dropdown is set to '5' and the 'WIP' dropdown is set to '7'. Below these, the 'Main account category' for 'INV' is 'INV' and for 'CIP' is 'CIP'.

Once We have setup our inventory accounts for reconciliation, we can now effectively run the Potential Conflicts Report to run this report navigate to **Inventory Management > Inventory Value Reports > Potential conflict – Inventory and general ledger**

The screenshot shows the 'Inventory Management' menu structure. The 'Inquiries and reports' menu item is highlighted with a red box. Under 'Inquiries and reports', the 'Inventory value reports' menu item is highlighted with a red box. Under 'Inventory value reports', the 'Potential conflicts - inventory and general ledger' menu item is highlighted with a red box.

When running the **Potential Conflicts Report**, selecting the appropriate **date range** is crucial for narrowing down the data and making the output more manageable.

Best Practices for Selecting a Date Range:

- Choose a **smaller date range** (e.g., a week or a specific month-end date) if you know there are discrepancies. This helps reduce the volume of results, making it easier to analyze the data and pinpoint the source of the issue.
- Once smaller periods are reviewed and issues are resolved, you can run the report for broader date ranges for full reconciliation.

Potential conflicts - inventory and general ledger

Parameters

DATE INTERVAL

Date interval code

From date

4/1/2025

To date

4/1/2025

EXCLUDE TRANSACTIONS

Exclude physical to ledger

Yes

Exclude blank dimension values

Yes

DIMENSIONS

Dimension name

Dimension value

Destination

Change

Screen

Records to include

Run in the background

OK Cancel

2.2 Review Results from Reports

After running the Potential Conflicts Report, you'll be presented with a summary of potential mismatches between the General Ledger and the Inventory Subledger. Below is an example of what a **clean** report output looks like:

List of potential conflicts - inventory and general ledger.

Date interval code

From date

4/1/2025

To date

4/1/2025

Exclude physical to ledger

Yes

Exclude blank dimension values

Yes

Dimension name

Dimension value

Module	Balance
Inventory	-157,986.09
General ledger	-170,848.19
Discrepancy	12,862.10

When reviewing the **Potential Conflicts Report**, the first and most important field to observe is the Discrepancy field.

- The **discrepancy field** shows the **difference** between what was posted to the **inventory GL accounts** and what was posted to the **inventory subledger** (Inventory Value Report) for the specified period.
- In our example, the discrepancy is **\$12,862.10**, which indicates that the **GL balances differ** from the inventory subledger by this amount.

After identifying the discrepancy amount in the report, the next step is to examine **where the mismatch is occurring**. The **Potential Conflicts Report** is typically divided into two key sections:

- Inventory Section: -This section lists transactions that were **posted to the inventory subledger but not posted to the inventory GL**

Date Interval code					
From date		4/1/2025			
To date		4/1/2025			
Exclude physical to ledger		Yes			
Exclude blank dimension values		Yes			
Dimension name					
Dimension value					

Module	Balance
Inventory	-157,986.09
General ledger	-170,848.19
Discrepancy	12,862.10

Item number	Date	Lot ID	Reference	Value	Comment
10003725	4/1/2025	MMO-221581	Purchase order	5,752.00	The posting type Purchase expenditure for product has been posted to a main account that represents inventory.
10003725	4/1/2025	MMO-223899	Purchase order	13,497.00	The posting type Purchase expenditure for product has been posted to a main account that represents inventory.
10002663	4/1/2025	MMO-227758	Purchase order	630.24	The posting type Purchase expenditure for product has been posted to a main account that represents inventory.

- The second section of the **Potential Conflicts Report** is the **General Ledger** section. This section lists transactions that were **posted directly to the inventory GL accounts** but do not have corresponding entries in the inventory subledger.

Item number	Date	Lot ID	Reference	Value	Comment
10000626	4/1/2025	MMO-229339	Purchase order	263.80	The posting type Purchase expenditure for product has been posted to a main account that represents inventory.
Total				39,017.91	

General ledger	
There is no data available.	

Grand total	39,017.91
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2.3 Review a Sample report with Discrepancies

The following screenshot shows an example of a Potential Conflicts Report that includes a discrepancy between the inventory subledger and the general ledger. (As per my system report).

In this example, the discrepancy field displays a non-zero value, indicating that certain transactions were either posted to the subledger but not to the GL, or vice versa. The entries listed under the **Inventory** and **General Ledger** sections highlight the specific transactions contributing to the mismatch.

To help interpret the Potential Conflicts Report more effectively, the screenshot and data shown below have been recreated in **Excel format**. This allows for a clearer view of the transactions, their classifications (Inventory vs. General Ledger), and the corresponding causes of the discrepancy.

Item number	Date	Lot ID	Reference	Value	Comment
10003823	4/1/2025		Purchase order	5187	The posting type has been posted to a main account that does not represent inventory. The setting of the post financial inventory check box is not correct for the item model group @non-stock in the item model group
10003832	4/1/2025		Purchase order	1320.8	The posting type has been posted to a main account that does not represent inventory. The setting of the post financial inventory check box is not correct for the item model group @non-stock in the item model group
10003856	4/1/2025		Purchase order	4900	The posting type has been posted to a main account (XXXXXX) that does not represent inventory.
10003858	4/1/2025		Purchase order	216.5	The posting type has been posted to a main account that does not represent inventory. The setting of the post financial inventory check box is not correct for the item model group @non-stock in the item model group
10003826	4/1/2025		Purchase order	1237.8	The posting type Cost of purchased materials received has been posted to a main account (XXX) that does not represent inventory.
Total				12862.1	

1. **Issue A :-** In the Excel breakdown, (highlighted in yellow) represents a transaction that was posted to the inventory subledger but did not post to the inventory GL.

From the **conflict comments** provided in the Potential Conflicts Report (above excel screen shot), we can identify the issue as follows:

The item is assigned to an **Item Model Group** where:

- The item is marked as **Stocked = Yes**
- But the checkbox **“Post financial inventory”** is not set to Yes

Since financial updates were not enabled, the system posted the transaction **physically** in the subledger but did not generate a financial ledger entry in the GL, resulting in a discrepancy.

The screenshot displays the 'Item model groups' configuration interface. On the left, a sidebar lists various item types, with 'NON STOCK' selected. The main area is titled 'Item model groups' and shows the configuration for the 'NON STOCK' group. Under the 'Costing method & cost recognition' section, two red boxes highlight key settings: the 'INVENTORY POLICY' section where the 'Stocked product' checkbox is checked, and the 'LEDGER INTEGRATION' section where the 'Post physical inventory' checkbox is checked and the 'Post financial inventory' checkbox is unchecked. Other sections like 'Inventory policies' and 'NEGATIVE INVENTORY' are also visible at the bottom.

2. **Issue B:-** In the Excel analysis, (highlighted in grey) shows a General Ledger discrepancy where transactions were posted to the inventory GL, but do not have corresponding entries in the inventory subledger.

According to the conflict comments from the Potential Conflicts Report:

- The transaction in question was not related to inventory, yet it was posted to an inventory GL account.
- This typically occurs when a non-inventory posting type (e.g., purchase accruals, charges, freight, or service items) is incorrectly mapped to an inventory GL account via the posting profile.

Since these transactions do not involve inventory items (no subledger record), they appear **only in the GL**, leading to an imbalance with the Inventory Value Report. To research this issue, we need to look the item groups again to see if we have any non-inventory postings setup to post to an inventory account.

Standard view

Item groups

Item group: NONSTOCK Name: NON-STOCK

Sales order

Purchase order

Account type	Main account
Cost of purchased materials received	52210
Purchase expenditure, un-invoiced	20020
Cost of purchased materials invoiced	52210

Standard view

Main accounts - chart of accounts: Shared

General

Totals Assign template Additional consolidation accounts Currency code validation

IDENTIFICATION

Main account: 52210

Name: Explosive Materials

LEDGER

Main account type: Expense

Main account category: PCAS

RELATED ACCOUNTS

Offset account:

Opening account:

ADMINISTRATION

Do not allow manual entry: ☐

Active from:

Active to:

Suspended: ☐

Field to transfer balance on closing:

Close type: Not applicable

CONSOLIDATION

Default consolidation account:

CURRENCY

Default Currency: CAD

Validate currency code: Optional

Foreign currency revaluation: No

Exchange rate type:

Reporting currency exchange rate:

From the Excel-based report and the supporting screenshot, we can observe another important discrepancy — this one tied to **incorrect GL mapping** in the item group setup.

- Our standard inventory account is **52210**.
- However, the **Item Group** named “Non stock” is configured to **post inventory receipts to a different account**, which is **not recognized** as one of the defined inventory accounts for reconciliation.

While the previous sections covered issues observed in the current scenario, there are **other common causes** of discrepancies between the **inventory subledger** and the **general ledger**. These issues may not have appeared in your example but are frequently encountered during month-end reconciliation in Dynamics 365 Finance and Operations.

3. **Issue C**:-In this scenario, is identified as a General Ledger-only transaction, meaning the entry was posted directly to the inventory GL without any corresponding transaction in the inventory subledger.

According to the conflict comments in the Potential Conflicts Report:

- This was a **manual journal entry** (e.g., using a general journal)
- Since inventory subledger updates are only triggered through inventory-related modules (e.g., purchase orders, production, inventory journals), a direct posting to the inventory account bypasses the subledger.

Now that we are familiar with the types of messages generated in the *Potential Conflicts Report*, it is important to understand that resolving the underlying posting issues will not retroactively clear the conflicts listed for the current reporting period. The corrections made will apply only to future transactions.

Once the necessary fixes have been implemented, it is critical **to** regularly monitor the Potential Conflicts Report to ensure:

- The previously identified issues no longer appear.
- No new conflicts are emerging.

The *Potential Conflicts Report* is a powerful diagnostic tool when properly understood and interpreted. We hope this guidance helps you use the report more effectively moving forward.